

EMSX MiFID II guideline & workflow

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EMSX MiFID II guideline & workflow

In preparation for MiFID II, Bloomberg EMSX is enhancing its workflow to provide clients with the needed data and solutions to fulfill their MiFID II obligations (Trade reporting, Transaction reporting, best execution and order record keeping). Bloomberg EMSX will connect to Bloomberg RHUB to support client’s regulatory obligations through a centralized access for ARM, APA, ORK (BVault) and Best Execution (BTCA).

EMSX and the Bloomberg Order Routing Network are enhancing workflows to support additional MiFID II transactional values to facilitate the exchange of information between both sides of the trade. These changes will impact:

- EMSX ticket
- EMSI Import/Export
- EMSX API
- EMSX FIX Staging
- FIX dropcopy (CCDC)
- EMSxNet
- Bloomberg Order Routing (OR) Broker Network (E/F/O OR)

The changes apply for all asset classes.

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EMSX & RHUB

EMSX and EMSxNet will connect with Bloomberg RHUB, our MiFID II APA and ARM reporting facility. EMSX and EMSxNet will automatically feed trades to RHUB for clients who subscribe to RHUB. EMSX and EMSxNet will require additional data which are outlined in this document. Please contact your EMSX or Bloomberg sales representative for more details.

Timeline

Enhanced functionality is in place for User Acceptance Testing (UAT) and Production. Please contact your GM rep to request enablement and testing. Note that the specifications described are subject to updates and changes throughout the implementation of MiFID II.

MiFID II fields

Enhanced functionality is in place for User Acceptance Testing (UAT) and Production. Please contact your GM rep to request enablement and testing. Note that the specifications described are subject to updates and changes throughout the implementation of MiFID II.

Buy Side fields (sent)

- Buy side Identifier
- Aggregation flag
- SI Order flag
- Undisclosed Sell
- MiFID II Trading Instructions

Sell Side fields (receipt)

- Broker Identifier
- Trade Reporting Indicator
- Execution Capacity
- Transaction Reporting MIC
- SI Execution flag
- APA flag
- OTC Trade flag
- Waiver flag

All Sell Side (broker) fields are optional and not required on execution messages. Bloomberg will not validate these tags (i.e. reject/DK), the system will only pass them further upstream.

EMSX (TICKET, EMSI, API)

Clients who use the EMSX ticket, EMSI import order tool, or the EMSX API to add orders will have the option to enable the fields below:

- Originator LEI (EMSX will integrate into Bloomberg’s ENFB LEI database so clients can pre-set their LEIs)
- Aggregation and PNAL flags (EMSX will also have a feature to automate these flags)
- SI Order indicator
- MiFID II trading instructions

The new “Undisclosed Sell” side will be supported as a new side, routable if your broker supports it.

EMSX will display and export (via EMSI) additional broker defined fields if provided in the FIX messages. These values are:

- Execution LEI
- Trade reporting indicator
- Execution Capacity
- Transaction Reporting MIC
- SI execution flag
- APA flag
- OTC trade flag
- Waiver flag

EMSX FIX staging & dropcopy (CCDC)

Clients who stage orders into EMSX will have the option to enable the fields listed below:

- Originator LEI
- Aggregation and PNAL flag
- SI Order Indicator
- MiFID II Trading Instructions

The new “Undisclosed Sell” side will be supported as a new order type, Clients will be able to route if your broker supports it.

EMSX will send back additional broker MiFID II values to the staging session if provided by the brokers. These values are:

- Execution LEI
- Trade reporting indicator
- Execution Capacity
- Transaction Reporting MIC
- SI execution flag
- APA flag
- OTC trade flag
- Waiver flag

Please note that all fields are optional and the system will pass them only if provided by the broker.

Refer to table 1.1 and table 1.2 for the FIX details.

EMSX dropcopy

Clients who have a dropcopy session from EMSX will be able to opt in to receive both buy side and broker fields. Buy side fields will be available to clients only on 35=8 Ack messages and will not be appended to any fill execution reports. Broker fields will be sent only if the broker has provided values on that specific execution report (e.g. values will not be stored by CCDC to resend on each sell side execution).

EMSxNet

Clients who use EMSxNet will be able to send and receive any combination of tags to the sell side with our Hybrid network; there will be no limitation on what values are communicated through our network, rather we will be reliant on the broker to process and validate the additional FIX tags.

EMSxNet clients that are routing to destinations in our normalized Hub environment will need to send values in FIX committee recommended repeating FIX tags method or the flat FIX tag method, which will be normalized for broker consumption (provided the broker has opted in to receive additional tags). EMSxNet will also send back broker values (if provided) to buy side clients that opt into receiving this flow on the Hub network.

Refer to table 1.1 and table 1.2 and table 1.2 for the FIX details.

EOR broker network

Brokers who receive orders on our EOR network will be able to optionally receive MiFID II buy side fields on order (35=D) messages. EMSX and EMSxNet will not perform validations of values in various data fields, brokers will validate and accept/reject client orders based on their compliance validations. Brokers will be able to receive repeating tags or flat but not both.

- Originator LEI
- Aggregation and PNAL flag
- SI Order Indicator
- MiFID II Trading Instructions
- Undisclosed Sell

Brokers will also be able to send back additional MiFID II values. Brokers can send these tags on a flat or repeating group basis, but not both. The fields are:

- Execution LEI
- Trade reporting indicator
- Execution Capacity
- Transaction Reporting MIC
- SI execution flag
- APA flag
- OTC trade flag
- Waiver flag

Please note that all these fields are optional and you may have clients reach out to you if they need to provide this information to fulfill their MiFID II reporting obligations.

Refer to table 1.1 and table 1.2 for the FIX details.

MiFID II fix tags

New order message tags (35=D; 35=E) [Table 1.1]

Bloomberg EMSX will support the following additional tags on a New Order (35=D) or New List (35=E). Both repeating groups and flat version will be supported, however each client can choose only one method either repeating group or flat for their FIX traffic flow.

All tags are optional. These tags are NOT supported on order cancellation or modification requests.

Field	Repeating Group Tag	Flat Tag	Comments
Originator LEI Order sender Legal Entity Identifier	Tag 452=13 (Originating firm) Tag 447=N (LEI) Tag 448 = LEI value	Tag 20013 = LEI Value	Optional RG Tags utilize the PartyID Roles (Tag 453 = 1)
Aggregation & PNAL flags Aggregation or Pending Allocation flag	NoOrderAttributes(2593) OrderAttributeType(2594) 0 = Aggregated order 1 = Pending allocations OrderAttributeValue(2595)=Y	Tag 8015: 0 = AGGR (Aggregation of orders) 1 = PNAL (Pending allocation)	Optional Space delimited value that can be used in conjunction with order originator 'SI Order Indicator' flag.
SI Order indicator Order Sender SI status	NoOrderAttributes(2593)=1 OrderAttributeType(2594) 5= (Systematic Internaliser order) OrderAttributeValue(2595)=Y	Tag 8015=5	Optional RG Tags utilize NoOrderAttributes Space delimited value that can be used in conjunction with Aggregation/PNAL flag.
MiFID II trading instructions Order Sender Trading Instruction	Tag 2704: 0 = No trading venue restriction 1 = Trade only on a trading venue 2 = Trade only on a Systematic Internaliser (SI) 3 = Trade on a trading venue or Systematic Internaliser (SI)	Tag 2704: 0 = No trading venue restriction 1 = Trade only on a trading venue 2 = Trade only on a Systematic Internaliser (SI) 3 = Trade on a trading venue or Systematic Internaliser (SI)	Optional No repeating group.
Sell (undisclosed)	Tag 54=H	Tag 54=H	Optional

Execution message tags (35=8) [Table 1.2]

The following tags are supported on execution messages (35=8). Both repeating groups and flat version will be supported. Client can choose one or the other for all his flow. All tags are optional.

These tags are NOT supported on order cancellation or modification requests.

Field	Repeating Group Tag	Flat Tag	Comments
Execution LEI Order execution Legal Entity Identifier	Tag 452: 1 (Executing Firm) Tag 447: N (LEI) Tag 448: LEI value	Tag 20001: LEI Value	Optional RG Tags utilize the PartyID Roles (Tag 453). Supported for both ack and fill. Route column will display last-fill LEI.
Trade reporting indicator Order execution reporting indicator	Tag 2524: 0 = Trade not yet reported 1 = Trade reported as "on-book" 2= Trade reported as SI Seller 3 = Trade reported as SI Buyer 4 = Trade reported under non-SI Seller 5 = Trade reported under delegation arrangement 6 = Trade will be reported	Tag 2524: 0 = Trade not yet reported 1 = Trade reported as "on-book" 2= Trade reported as SI Seller 3 = Trade reported as SI Buyer 4 = Trade reported under non-SI Seller 5 = Trade reported under delegation arrangement 6 = Trade will be reported	Optional No repeating group. Expected only on fills.
Execution capacity	Tag 29: 1,2,3,4,5	Tag 29: 1,2,3,4,5	Optional No repeating group. Expected on each fill.
Transaction Reporting MIC Broker execution MIC	PartyID 448: XOFF or an SI MIC PartyIDSource 447: G (MIC) PartyIDRole 452: 73 (executing venue)	Tag 20073: XOFF or SI Mic	Optional RG Tags utilize the PartyID Roles (Tag 453). Expected only on fills or DFD.
SI execution flag Systematic Internaliser	574 = 9	574 = 9	Optional No repeating group. Expected only on fills.
APA flag APA flag if delegated to the broker	PartyIDRole 452: 123 (publishing intermediary) PartyIDSource(447) = G (MIC) PartyID(448) = APA MIC	Tag 20123: APA MIC	Optional RG Tags utilize the PartyID Roles (Tag 453). Expected only on fills or DFD.

Field	Repeating Group Tag	Flat Tag	Comments
OTC trade flags	Tag 855: 64 (BENC) Tag 829: 37 (ACTX) Tag 828: 65 (TPAC), 2 (XFPH) Tag 8014: 13 (SDIV), 16 (TNCP), 14 (RPRI) Tag 8013: 7 (ILQD), 8 (SIZE), 6 (LRGS) Tag 8014: 15 (NPFT)	Tag 855: 64 (BENC) Tag 829: 37 (ACTX) 828: 65 (TPAC), 2 (XFPH) Tag 8014: 13 (SDIV), 16 (TNCP), 14 (RPRI) Tag 8013: 7 (ILQD), 8 (SIZE), 6 (LRGS) Tag 8014: 15 (NPFT)	Optional EMSX will only support flat version for the OTC flags; up to five values. These values must be sent space delimited. No Repeating Group support. Expected on each fill.
Waiver flags	Tag 8013: 0 (NLIQ), 1 (OILQ), 2 (PRIC NT), 3 (RFPT), 9 (LRGS), 10 (OM), 4 (ILQD), 5 (SIZE)	Tag 8013: 0 (NLIQ), 1 (OILQ), 2 (PRIC NT), 3 (RFPT), 9 (LRGS), 10 (OM), 4 (ILQD), 5 (SIZE)	Optional EMSX will only support flat version for the Waiver flags, up to five values. These values must be sent space delimited. No Repeating Group support. Expected on each fill.

OTC trade flags definitions

Field	Repeating Group Tag
BENC	Benchmark
SDIV	Special dividend
TNCP	Trade exempted from trading obligation
ACTX	Crossed trade
RPRI	Price improvement
ILQD	Post Trade Deferral; Deferral due to "Illiquid instrument" per RTS2
SIZE	Post Trade Deferral; Deferral due to "Size specific" per RTS2
TPAC	Package trade
XFPH	Exchange for Physical
LRGS	Post Trade Deferral; Deferral due to "Large in scale"
NPFT	Non price forming trade.

Pre trade transparency waiver flag definitions

Field	Repeating Group Tag
NLIQ	No preceding order in book as transaction price set within average spread of a liquid instrument.
OILQ	No preceding order in book as transaction price depends on system-set reference price for an illiquid Instrument.
PRIC	No preceding order in book as transaction price is subject to conditions other than current market price.
RFPT	No public price preceding order as public reference price was used for matching orders.
LRGS	No public price and/or size quoted as transaction is large in scale.
OM	No public price and/or size quoted due to order being hidden.
ILQD	No public price quoted as order size is above standard market size.
SIZE	No public price quoted as order is above standard market size.

Change history

V 1.3 December 2017:

- Update Waiver flags to add ILQD and SIZE.
 - Update OTC flags to add NPFT.
 - Update transaction reporting MIC with Value 6.
 - Change to inform clients that EMSX is ready in Production for MIFID fields.
- Update OTC flags to remove ILQD SI and SIZE SI and correct tag 855 value for Benchmark
 - Change of SI Execution flag to 574=9.

V 1.2 September 07 2017:

- Change tag 828=64 to 828=65 (OTC flag).
- Change to inform clients that EMSX is ready in UAT for testing.

VI.1 August 11 2017:

- Change to Order Originator LEI from tag 20003 to tag 20013 and value in tag 452 from 3 to 13 (Client) to (Originating Firm).
- Update of values supported for PNAL/Aggregation Flag tag 8015
- Update to Transaction Reporting MIC tag 452 value from 16 to 73
- Update of the APA Flag from tag 452 value of 72 to 123 and flat tag 20072 to tag 20123

Contact us

Please contact your Bloomberg EMSX Account Manager for any further details or questions regarding MiFID II or the technical guidelines.

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